

OCAD - ONE COMPANY A DAY

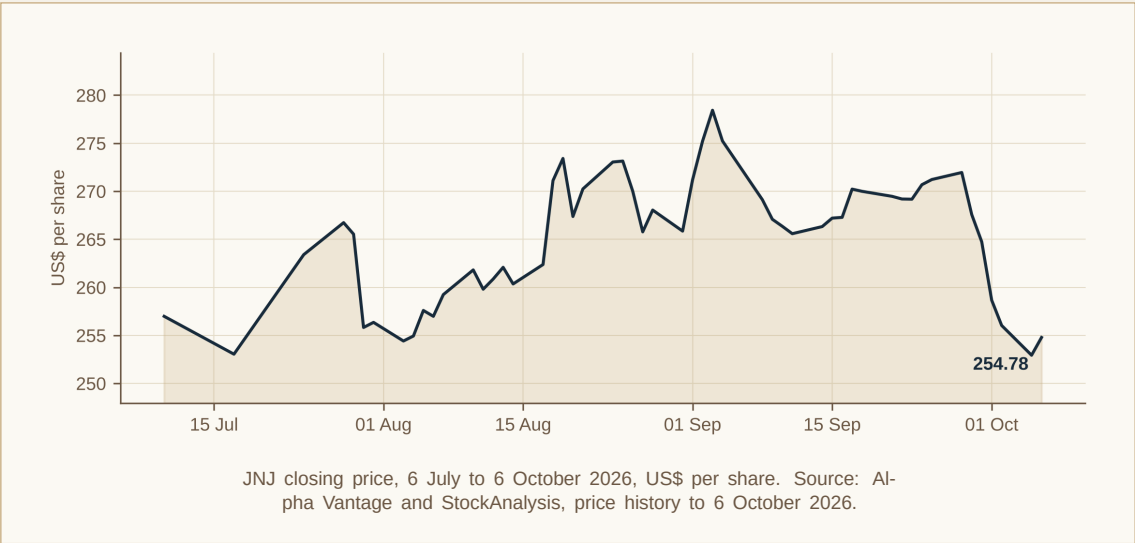
SERIES: PHARMA AND BIOTECH

Johnson & Johnson

JNJ | New York Stock Exchange

US\$ 254.78 per share

Closing price, Tuesday 6 October 2026



Executive Summary

Johnson & Johnson is a US\$94.2bn revenue healthcare group whose profit comes mainly from a small number of large oncology and immunology drugs, with a second engine in surgical, cardiovascular, orthopaedic and eye-health devices. The shares closed at US\$254.78 on 6 October 2026, 29.5 times trailing earnings and 18.5 times trailing EBITDA, after a 38.1% total return over twelve months. [SOURCED](#)

Business

Innovative Medicine contributed US\$60.4bn (64.1%) and MedTech US\$33.8bn (35.9%) of FY2025 sales, with 57.1% of the group total generated in the United States. Customers are wholesalers, hospitals, health systems and governments; the model combines patent-protected drug pricing with scale in hospital procedure-based devices. [SOURCED](#)

Financial Condition

Revenue grew 6.1% in FY2025 to US\$94.2bn and 8.1% on a trailing basis to US\$97.9bn, with a 27.7% trailing operating margin (US\$27.1bn). Trailing operating cash flow was US\$27.6bn and free cash flow US\$22.2bn (22.7% margin); net debt is US\$28.3bn, or 0.81 times EBITDA. Reported net income is volatile (US\$26.8bn in FY2025, US\$14.1bn in FY2024) because of litigation and portfolio items. [CALCULATED](#)

Market Position

The company competes with Merck, AbbVie, Pfizer, Eli Lilly and Novartis in medicines, and with Medtronic, Abbott, Boston Scientific and Stryker in devices. Its edge is breadth: it is one of few groups with leading positions in both pharmaceuticals and surgical devices, funding US\$14.1bn of annual R&D. Its weakness is concentration, with Darzalex alone near 15% of group revenue and its main US patents expiring in 2029. [SOURCED](#)

Valuation

VALUATION SNAPSHOT AT US\$254.78 (6 OCTOBER 2026)

Metric	Value	Basis
Market capitalization	US\$618.5bn	Calculated: 2.428bn shares x US\$254.78
Enterprise value	US\$646.8bn	Calculated: market cap + net debt US\$28.3bn
P/E, trailing	29.5x	Calculated: US\$254.78 / US\$8.63 GAAP EPS
P/E, on 2026 adjusted EPS guidance	21.8x	Calculated: US\$254.78 / US\$11.68 midpoint
EV/EBITDA, trailing	18.5x	Calculated: EBITDA US\$34.9bn
P/FCF, trailing	27.8x	Calculated: US\$618.5bn / US\$22.2bn
EV/Sales, trailing	6.6x	Calculated
Dividend yield	2.1%	Sourced: US\$5.36 per share

Sources: StockAnalysis statistics page (7 October 2026) for EPS, EBITDA margin, dividend and net debt; Johnson & Johnson Q2 2026 release (15 July 2026) for guidance. Multiples recalculated at the 6 October closing price.

Investment Framework

WHAT IS ATTRACTIVE	Return on invested capital of 19.9%, 68% gross margin, US\$22.2bn of trailing free cash flow, an upgraded 2026 outlook and a beta near 0.2 against the market.
WHAT IS CONCERNING	Concentration in Darzalex (15.0% of sales) with US patents expiring in 2029, an ongoing talc litigation docket, goodwill and intangibles equal to 49.8% of assets, and a multiple far above its own history.
WHAT MUST GO RIGHT	Tremfya, Carvykti, Rybrevant, Spravato and Caplyta must replace Stelara revenue, and the Orthopaedics separation must complete without disrupting MedTech margins.
WHAT COULD BREAK THE THESIS	Faster-than-expected erosion of Darzalex after 2029, a large adverse talc outcome, US drug-pricing or tariff policy, or a de-rating of defensive large-cap healthcare.
PRICED IN	A discount-rate-adjusted view: at 8.5% cost of equity the base cash-flow case supports about US\$173 per share, so the market is capitalising either a cost of equity near 6.6% or free cash flow growth near 13% a year for five years.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High: 68% gross margin, two diversified engines, high R&D reinvestment
Financial quality	High: free cash flow positive every year, but net income noisy
Competitive position	Strong in oncology, immunology and cardiovascular devices
Growth profile	Moderate: 4.6% revenue CAGR FY2021 to FY2025, 6.8% guided for 2026
Balance-sheet risk	Low to moderate: 0.81x net debt/EBITDA, interest cover not retrieved
Valuation	Demanding versus history and peers on trailing measures
Market and technical profile	Low volatility, short-term oversold, uptrend intact above 200-day

Reasoned assessments based on the calculations in sections B and C.

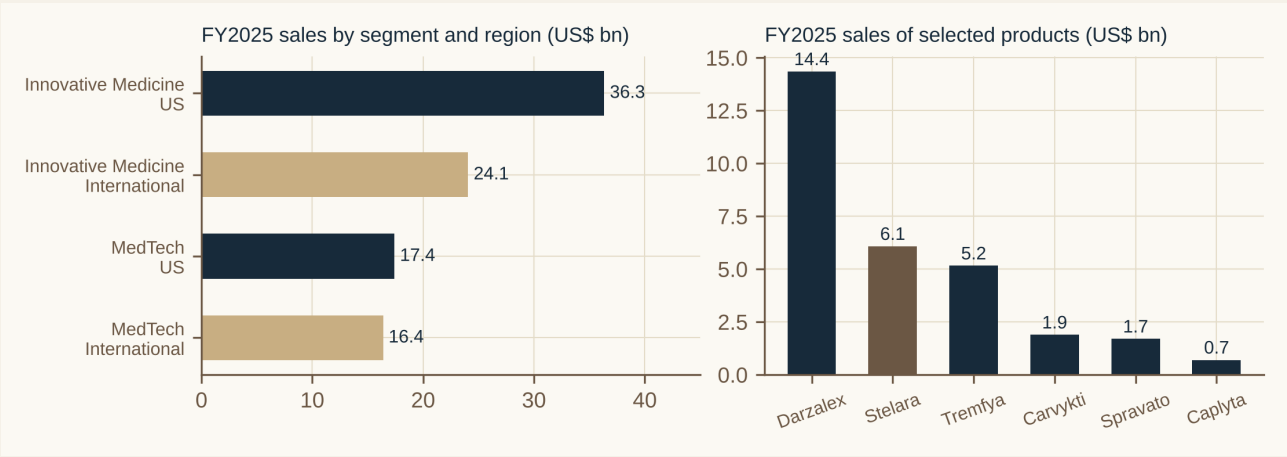
A. About the Business

A1. Business Environment

Johnson & Johnson sells into two linked but economically different industries. Prescription medicines are a patent-protected market in which the value of a product is set by clinical differentiation, payer negotiation and the time remaining before generic or biosimilar entry. IQVIA projects global medicine spending of about US\$2.6tn by 2030, growing 5% to 8% a year, with the United States growing faster than the rest of the world combined and rebates offsetting roughly 46% of invoice value. The same source warns that nearly US\$200bn of brand revenue is exposed to patent expiries, a cliff larger than that of 2011 and 2012. SOURCED

Medical devices are a procedure-driven market in which value is created by surgeon preference, installed base, clinical evidence and hospital contracts. Fortune Business Insights sizes the global device market at US\$572.3bn in 2025 and US\$605.0bn in 2026, forecasting 6.9% annual growth to 2034, with North America holding 38.1% of the total. SOURCED

Where Johnson & Johnson earns revenue



Source: Johnson & Johnson Q4 and full-year 2025 results, 21 January 2026. Units: US\$ billion, fiscal year ended 28 December 2025.

Value is created upstream, in discovery and clinical development, which consume 14% to 15% of revenue at this company, and captured at the point of patent-protected commercialisation. In devices, value is captured through installed bases and recurring consumables. Capital intensity is moderate: capital expenditure was 5.1% of FY2025 revenue. The pharmaceutical segment is cyclical only through patent expiries, not through the economy; devices are modestly cyclical through elective procedure volumes. REASONED

INDUSTRY STAGE

Pharmaceuticals: mature and structurally transforming, with growth concentrated in oncology, immunology and obesity and a heavy loss-of-exclusivity calendar. Medical devices: growing and consolidating. The classification rests on single-digit spending growth, a large patent cliff and steady procedure demand from ageing populations. REASONED

A2. What Does the Company Do?

A new employee would be told that the company is two businesses under one balance sheet. Innovative Medicine discovers and sells drugs for oncology, immunology, neuroscience, cardiovascular and metabolism, and pulmonary hypertension. MedTech sells devices in four franchises: Surgery (US\$10.1bn in FY2025), Orthopaedics (US\$9.3bn), Cardiovascular (US\$8.9bn, including electrophysiology US\$5.6bn and Abiomed US\$1.8bn) and Vision. SOURCED

Revenue is largely recurring in practice: chronic therapies and implant and consumable procedures repeat, although each product has a patent or contract end date. New products introduced in the past five years account for roughly 25% of 2025 sales. Distribution runs through wholesalers and specialty pharmacies for drugs and through direct hospital sales forces for devices; the company had about 138,200 employees at the end of 2025. SOURCED

How one dollar of revenue is used

The second-quarter 2026 income statement shows that of each US\$1.00 of sales, 31.8 cents go to cost of products sold, 25.4 cents to selling, general and administrative expense and 14.4 cents to research and development. Restructuring and other items take about 1.5 cents, leaving 26.7 cents of pre-tax profit and 21.9 cents of net earnings after 4.8 cents of tax. Over the trailing twelve months about 22.7 cents become free cash flow. CALCULATED

1. CUSTOMER Wholesalers, hospitals, health systems, payers and governments worldwide	2. PRODUCT AND SERVICE Innovative Medicine 64.1% and MedTech 35.9% of FY2025 sales	3. REVENUE FY2025 US\$94.2bn; trailing US\$97.9bn; 2026 guidance US\$101.1bn
4. COSTS Cost of sales 31.8c, SG&A 25.4c, R&D 14.4c per dollar (Q2 2026)	5. OPERATING PROFIT 27.7 percent trailing operating margin, US\$27.1bn	6. CASH FLOW Operating cash flow US\$27.6bn, free cash flow US\$22.2bn
		7. CAPITAL ALLOCATION Dividends US\$12.6bn, buybacks US\$8.1bn, capex US\$5.4bn, acquisitions

The economically most important parts are the oncology and immunology drugs. Darzalex (US\$14.4bn), Stelara (US\$6.1bn), Tremfya (US\$5.2bn) and Carvykti (US\$1.9bn) together represent about 29% of group revenue, and drug gross margins are far above device margins. Unit economics by product are not disclosed. REASONED

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Innovative Medicine	64.1% of sales; Janssen brands including Darzalex, Tremfya, Carvykti, Spravato, Caplyta	Main profit pool and patent-expiry exposure
MedTech	35.9% of sales; Surgery, Orthopaedics (DePuy Synthes), Cardiovascular (Biosense Webster, Abiomed, Shockwave), Vision	Procedure-driven, recurring consumables, lower margin than drugs
Wholesalers and pharmacies	Primary US drug channel	Concentrated buyers set payment terms; receivables rose to US\$17.2bn in FY2025
Hospitals and surgeons	Direct device customers	Switching costs from training and clinical data
Genmab and Legend Biotech	Collaboration partners on Darzalex and Carvykti (Reasoned, terms not retrieved)	Part of the economics of two high-growth products is shared
Intra-Cellular Therapies	Acquired 2 April 2025, brought Caplyta	Neuroscience growth, added intangibles
Shockwave, Abiomed	Acquired devices in Cardiovascular	Together with other deals, goodwill and intangibles reach US\$99.2bn at FY2025
Orthopaedics separation	Announced October 2025, 18 to 24 months	Would remove about US\$9.3bn of sales and leave MedTech focused on Surgery, Cardiovascular and Vision
Institutions	Institutional ownership 76.2%, insider ownership 0.04%	Widely held, low insider alignment

Sources: Johnson & Johnson FY2025 Form 10-K, Q4 2025 results release, StockAnalysis. Partner economics are described in company filings and were not quantified here.

A4. Competition

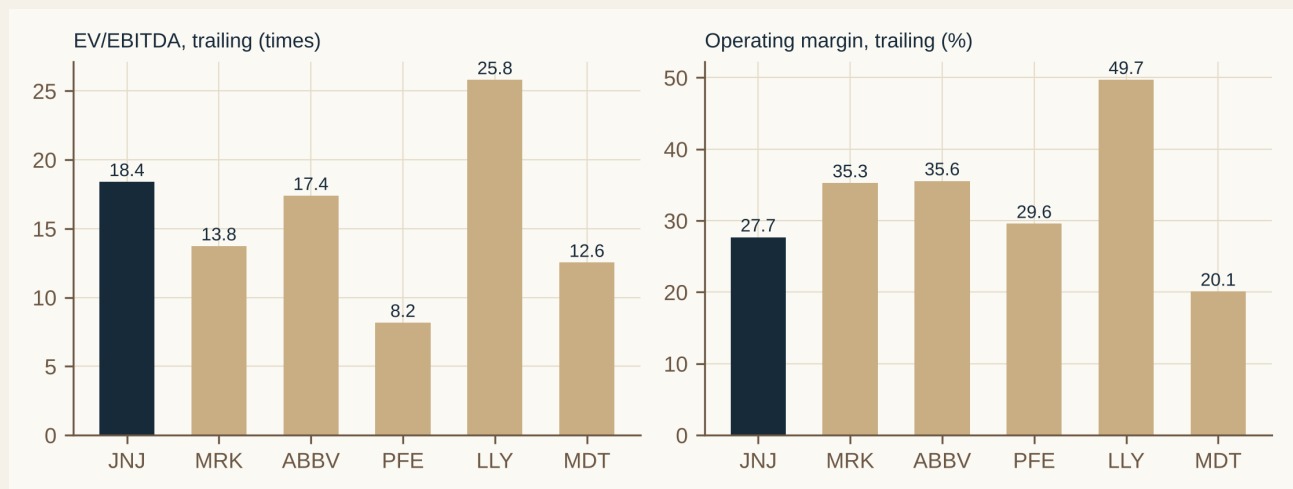
Competitors are chosen because they fight for the same prescribers, hospital budgets and research talent. In immunology and oncology the closest rivals are AbbVie (Skyrizi, Rinvoq), Merck (Keytruda), Pfizer, Eli Lilly and Novartis. In devices the most relevant are Medtronic, Abbott, Boston Scientific and Stryker. Substitutes include biosimilars of Stelara, which already reduced that product by 55% in the second quarter. Emerging competitors include Chinese biotechnology licensors, which IQVIA notes account for nearly a third of large in-licensing deals. **SOURCED**

COMPETITIVE COMPARISON, US\$ BILLION UNLESS STATED

Company	Market cap	EV	Revenue	Op. margin	EV/EBITDA	ROIC
Johnson & Johnson	614.0	642.3	97.9	27.7%	18.4x	19.9%
Merck	350.2	397.0	66.6	35.3%	13.8x	14.1%
AbbVie	471.3	535.6	64.4	35.6%	17.4x	17.7%
Pfizer	156.7	208.5	63.7	29.6%	8.2x	13.5%
Eli Lilly	1,030.0	1,080.0	79.7	49.7%	25.8x	42.2%
Medtronic	111.4	130.6	37.5	20.1%	12.6x	8.6%

Source: StockAnalysis statistics pages for each company, 7 October 2026, trailing twelve months. Peers selected: Merck, AbbVie, Pfizer and Eli Lilly for pharmaceutical overlap in oncology, immunology and neuroscience; Medtronic as the closest diversified device peer. Johnson & Johnson figures are at the 5 October close.

Peer valuation and profitability



Source: StockAnalysis, 7 October 2026. Units: times and percent, trailing twelve months.

Johnson & Johnson is the largest of the group by revenue and the only one with a large device franchise. Its operating margin is below pure pharmaceutical peers because MedTech carries a lower margin, but its return on invested capital of 19.9% sits above Merck, AbbVie, Pfizer and Medtronic. Eli Lilly is the outlier, with a 49.7% operating margin on obesity-drug growth.

REASONED

A5. Competitive Differences

Advantages

Scale in both research and hospital distribution: US\$14.1bn of annual R&D in a company where 25% of sales come from products launched within five years. A moat built on patents and clinical evidence in multiple myeloma (Darzalex, Carvykti, Tecvayli), psoriasis and Crohn disease (Tremfya), and electrophysiology (Biosense Webster). Switching costs in devices come from surgeon training and procedure data. The balance sheet gives access to acquisitions and the cash flow of US\$22.2bn funds both dividends and bolt-on deals. REASONED

Disadvantages

Product concentration: Darzalex is 15.0% of FY2025 revenue and Stelara 6.5%, with Darzalex patent families expiring in the United States in 2029 and the Tremfya composition patent projected to expire in 2031. Stelara fell 55% in the second quarter of 2026 to US\$740m from US\$1,653m. The litigation overhang from talc, goodwill and intangibles of 49.8% of assets, and an equity base that is negative on a tangible basis (US\$81.5bn of equity less US\$99.2bn of goodwill and intangibles) are structural weaknesses. SOURCED

Moat rating

Moderate to strong. The pharmaceutical moat is strong but time-limited and has to be rebuilt through new launches; the device moat is moderate and rests on hospital relationships. The advantage is a mixture of structural elements (scale, diversification, research capacity) and temporary elements (specific patents). REASONED

A6. Industry Trend

Spending growth of 5% to 8% annually in medicines and 6.9% in devices are structural, driven by ageing populations and chronic disease. Cyclical factors include US drug pricing policy, tariffs and hospital capital budgets. The trend would reverse if US policy cut net prices more sharply than the 4% to 7% net price growth IQVIA forecasts, if biosimilar uptake accelerated, or if the nearly US\$200bn patent cliff arrived with fewer replacement launches. The industry is best described as mature and consolidating in devices and structurally transforming in medicines. SOURCED

A7. Management

EXECUTIVE TEAM

Name	Position
Joaquin Duato	Chief Executive Officer and Chairman
Joseph J. Wolk	Executive Vice President and Chief Financial Officer
John C. Reed, M.D., Ph.D.	Executive Vice President, Innovative Medicine R&D
Timothy Schmid	Executive Vice President and Worldwide Chairman, MedTech
Elizabeth Forminard	Executive Vice President and Chief Legal Officer
Kristen B. Mulholland	Executive Vice President and Chief Human Resources Officer

Source: StockAnalysis company profile, 7 October 2026. Ages and detailed career histories were not retrieved.

Management has delivered on guidance: the January 2026 outlook was US\$100.5bn of sales and US\$11.53 adjusted EPS, raised in April to US\$100.8bn and US\$11.55 and again in July to US\$101.1bn and US\$11.68. Capital allocation over FY2021 to FY2025 returned US\$58.7bn in dividends and US\$22.9bn in buybacks, together 85.7% of cumulative free cash flow of

US\$95.2bn, while net debt rose from US\$3.1bn to US\$29.2bn as the group bought growth through acquisitions. R&D intensity of 14.4% to 14.8% of sales has been held steady. Insider ownership is 0.04%, so alignment depends on compensation design rather than holdings. The decision to separate Orthopaedics and to return talc cases to the tort system after the bankruptcy route was rejected in March 2025 are the two defining governance decisions of the period. CALCULATED

B. Evaluation

B1. Financial and Operating Metrics

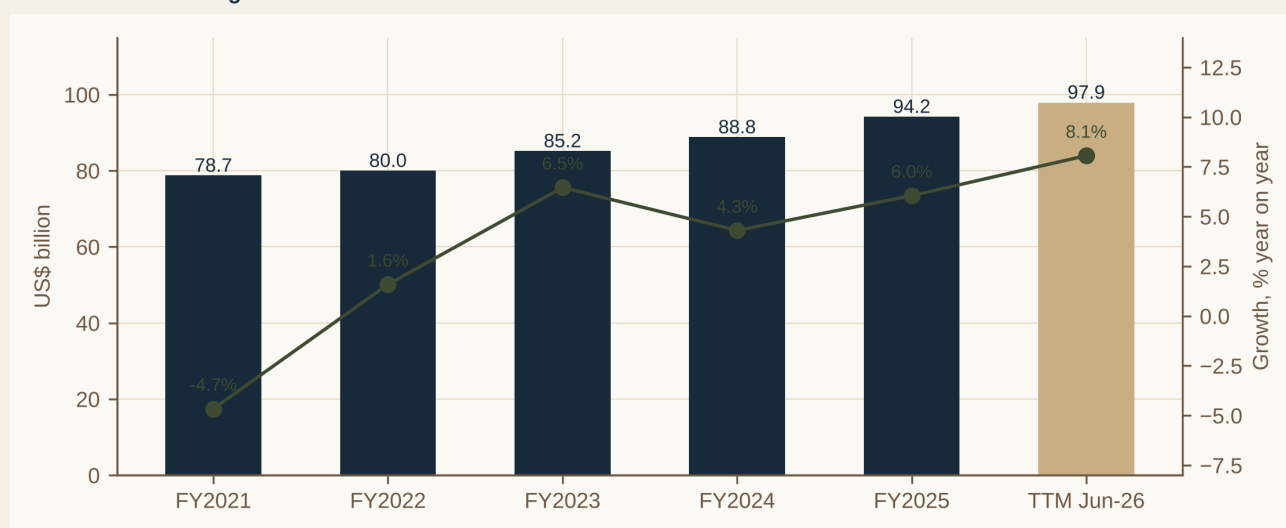
Accounting framework: US GAAP. Management also reports adjusted earnings; the adjusted figure (US\$10.79 in FY2025) excludes amortization of acquired intangibles, litigation items, restructuring and acquisition costs, and is not treated here as superior to GAAP earnings.

PROFITABILITY AND CASH METRICS, PERCENT OF REVENUE UNLESS STATED

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Gross margin	70.3	69.3	69.2	69.6	68.1	68.1
Operating (EBIT) margin	27.4	27.7	27.8	25.4	28.0	27.7
EBITDA margin	35.8	35.6	36.1	33.7	35.9	35.6
Net margin	26.5	22.4	41.3	15.8	28.5	21.5
Free cash flow margin	25.1	21.9	21.6	22.3	20.9	22.7
Capex to revenue	4.6	4.6	5.1	5.0	5.1	5.5
Operating cash flow / net income, x	1.12	1.18	0.65	1.73	0.92	1.31
Net debt / EBITDA, x	0.11	0.65	0.24	0.44	0.86	0.81

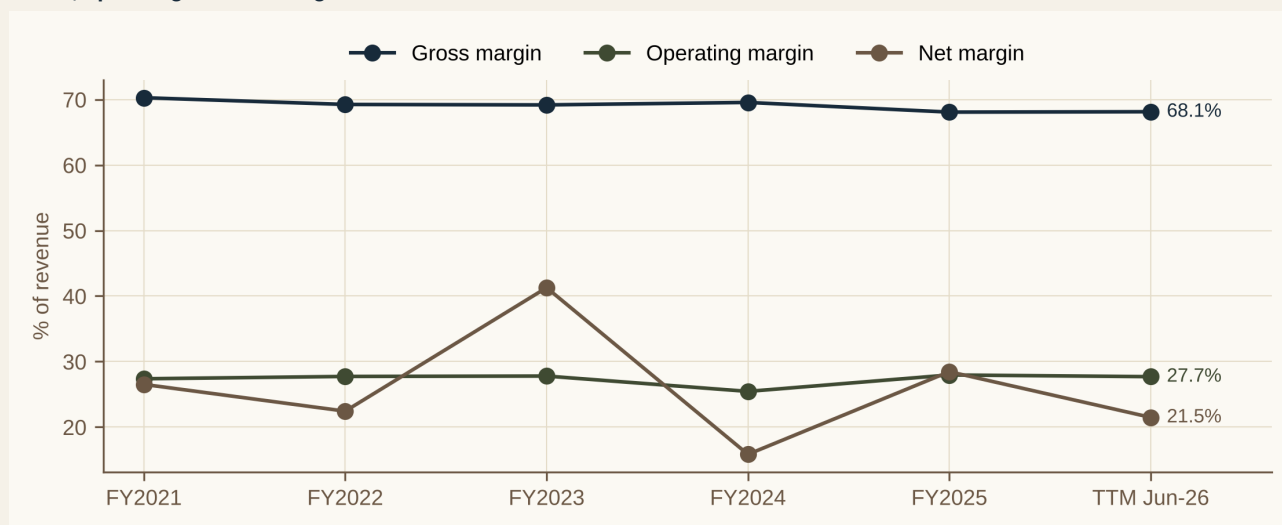
Calculated from StockAnalysis annual statements (income statement, balance sheet, cash flow) pulled 7 October 2026; EBITDA is operating income plus depreciation and amortization. FY ends on the Sunday nearest 31 December. Net debt is total debt including leases less cash and short-term investments.

Revenue and annual growth



Source: StockAnalysis annual income statements; Johnson & Johnson Q2 2026 results. Units: US\$ billion and percent. TTM is the twelve months to 28 June 2026.

Gross, operating and net margin



Source: StockAnalysis, calculated. Units: percent of revenue. Net margin includes large litigation and one-off items in FY2023, FY2024 and FY2025.

Returns, growth, efficiency and leverage

KEY RATIOS

Metric	Value	Basis
Return on equity, trailing	25.7%	Sourced: StockAnalysis; FY2025 calculated 35.0%
Return on assets, trailing	8.6%	Sourced: StockAnalysis
Return on invested capital, trailing	19.9%	Sourced: StockAnalysis
Revenue CAGR FY2021 to FY2025	4.6%	Calculated
Operating income CAGR FY2021 to FY2025	5.1%	Calculated
EBITDA CAGR FY2021 to FY2025	4.7%	Calculated
Free cash flow CAGR FY2021 to FY2025	-0.1%	Calculated: US\$19.8bn to US\$19.7bn
GAAP EPS CAGR FY2021 to FY2025	9.0%	Calculated: US\$7.81 to US\$11.03, distorted by litigation items
Asset turnover, FY2025	0.50x	Calculated: sales / average assets
Inventory turnover, FY2025	2.26x	Calculated: cost of sales US\$30.1bn / average inventory
Receivables turnover, FY2025	5.88x	Calculated: about 62 days of sales
Debt / EBITDA, trailing	1.41x	Calculated: US\$49.0bn / US\$34.9bn
Debt / equity	0.58x	Sourced: StockAnalysis
Interest coverage	N/A	Not Retrieved: interest expense not available in the sources used
Organic growth, Q2 2026	5.6%	Sourced: operational growth, Q2 2026 release

ROE is not the same as ROIC: ROE is inflated by negative tangible equity after acquisitions and buybacks, while ROIC of 19.9% is the cleaner measure of operating returns. Organic growth is not disclosed separately; operational growth excludes currency only.

Revenue growth has accelerated from 1.6% in FY2022 to 6.1% in FY2025 and 8.1% on a trailing basis, but the free cash flow CAGR of -0.1% shows that profitable growth has not yet become cash growth: operating cash flow grew 1.2% a year while capex rose from 4.6% to 5.5% of revenue. CALCULATED

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Loss of exclusivity concentration	High	High	Darzalex is 15.0% of sales and US patent families expire in 2029; Stelara already fell 55% in Q2 2026
2	Talc litigation	Medium	High	Bankruptcy route dismissed 31 March 2025; more than 67,000 pending cases and verdicts as large as US\$1.5bn reported
3	Valuation compression	Medium	High	Trailing P/E 29.5x versus 10.7x to 24.8x in FY2023 and FY2024
4	US drug pricing and tariff policy	Medium	Medium	US is 57% of sales and IQVIA projects 4% to 7% net price growth; policy could cut it
5	Pipeline and trial failure	Medium	Medium	R&D of US\$14.1bn a year; growth assumes Tremfya, Carvykti, Rybrevant, Caplyta scaling
6	Acquisition integration and impairment	Low	Medium	Goodwill and intangibles are US\$99.2bn, 49.8% of assets
7	Orthopaedics separation execution	Medium	Low	US\$377m of separation costs in H1 2026; stranded costs and dis-synergies possible
8	Financial: refinancing and rates	Low	Medium	US\$11.7bn short-term debt; 10-year Treasury yield 5.31%
9	Technology and cybersecurity	Low	Low	Not quantified in the sources used

Sources: Johnson & Johnson FY2025 Form 10-K and Q2 2026 results; JD Supra analysis of the Red River Talc dismissal; Alpha Vantage Treasury series; IQVIA. Probability and impact ratings are Reasoned.

Business risk includes customer concentration among US wholesalers (percentages not retrieved), supplier risk on biologics manufacturing and key-person risk around the CEO. Currency is a real swing factor: Q2 2026 reported growth of 6.6% exceeded operational growth of 5.6%. Macro risk comes through hospital budgets and interest rates, which affect the multiple more than the cash flows. The three risks most capable of permanently impairing shareholder value are the 2029 Darzalex patent cliff, an adverse structural talc outcome, and sustained multiple compression from the current 29.5x earnings. **REASONED**

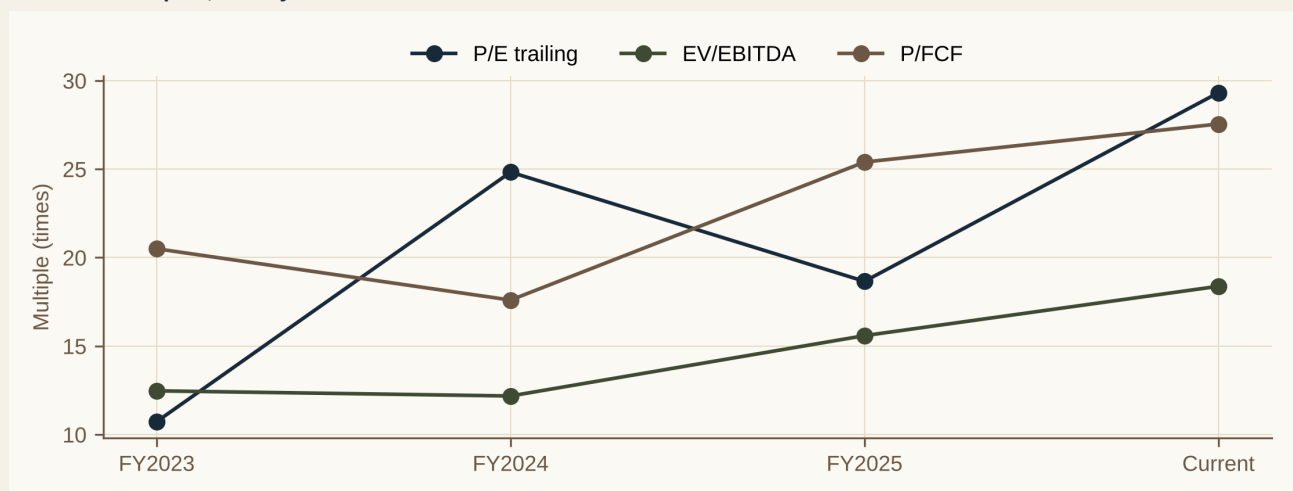
B3. Valuation

VALUATION MULTIPLES THROUGH TIME

Multiple	FY2023	FY2024	FY2025	Current
P/E, trailing GAAP	10.7x	24.8x	18.7x	29.3x
P/E, forward	15.1x	14.4x	18.8x	23.1x
EV/EBITDA	12.5x	12.2x	15.6x	18.4x
P/FCF	20.5x	17.6x	25.4x	27.6x

Source: StockAnalysis ratios page, 7 October 2026. Year-end multiples use the fiscal-year-end price; current multiples use the 5 October close of US\$252.93. FY2023 trailing P/E is depressed by a net income gain of US\$35.2bn.

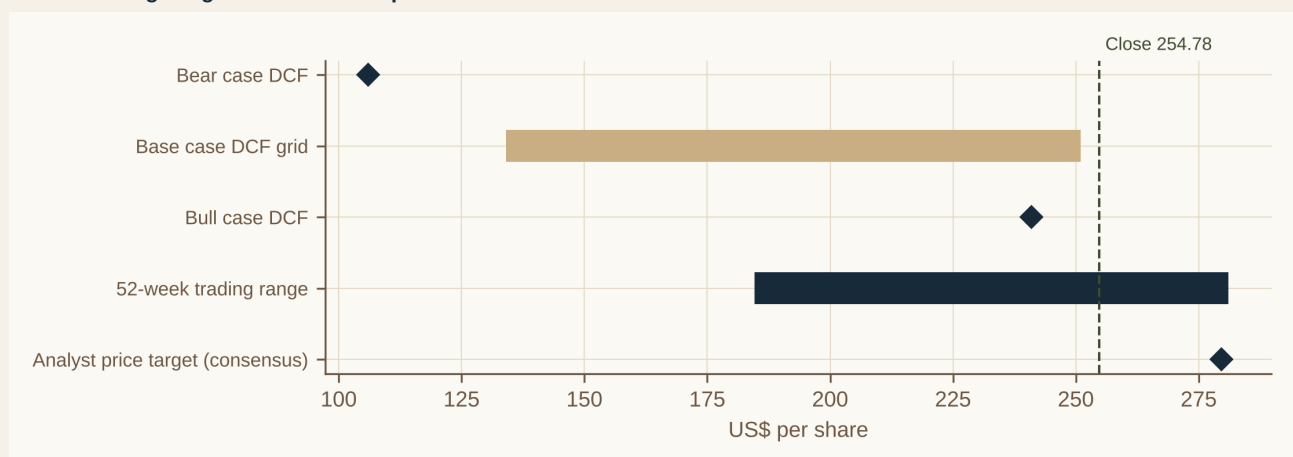
Valuation multiples, history to current



Source: StockAnalysis ratios page, 7 October 2026. Units: times.

Every measure has risen: EV/EBITDA from 12.5x to 18.4x in under three years and P/FCF from 20.5x to 27.6x. Against peers on a trailing basis, Johnson & Johnson (18.4x EV/EBITDA) trades above Merck (13.8x), Medtronic (12.6x) and Pfizer (8.2x), in line with AbbVie (17.4x) and below Eli Lilly (25.8x). On forward earnings the gap narrows: 21.8x on the 2026 adjusted EPS guidance of US\$11.68 versus Merck 16.7x, AbbVie 17.6x, Pfizer 9.9x, Medtronic 14.5x and Lilly 27.8x. Dividend yield is 2.1% on a 62.1% payout. Free cash flow yield is 3.6%. A PEG of 2.9 (StockAnalysis) signals that earnings growth of about 8% does not by itself justify the multiple. [SOURCED](#)

Valuation ranges against the current price



Source: calculated from the DCF in section C5; StockAnalysis analyst consensus target of US\$279.64 (23 analysts). Units: US\$ per share.

What is priced in

At US\$254.78 the market expects growth far above what the base case assumes. In the DCF of section C5, a cost of equity of 8.5% and 2.5% terminal growth support US\$173 a share on free cash flow growth averaging 4.0% a year over 2027 to 2031. To justify the current price at the same discount rate, free cash flow would have to grow about 13% a year for five years; alternatively the base growth path justifies the price only at a cost of equity near 6.6%. Revenue, margin and free cash flow expectations therefore appear **optimistic**, supported mainly by the market treating the shares as a low-beta, high-quality asset and applying a low discount rate. This is a statement about what is embedded in the price, not a prediction of it. CALCULATED

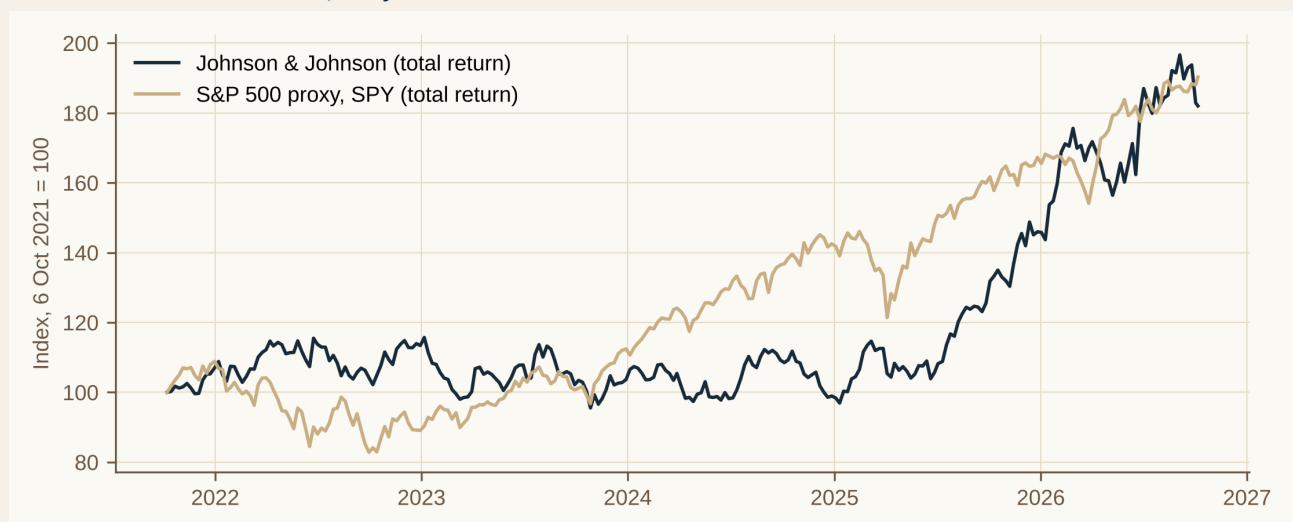
B4. Capital Market and Stock Analysis

TOTAL RETURN BY HORIZON TO 6 OCTOBER 2026, PERCENT

Horizon	Johnson & Johnson	S&P 500 proxy (SPY)	Relative
1 day	0.7	N/A	N/A
1 week	-4.8	N/A	N/A
1 month	-7.4	1.4	-8.8
3 months	-2.7	4.9	-7.6
6 months	6.0	19.4	-13.4
Year to date	24.7	13.7	11.0
1 year	38.1	17.7	20.4
3 years	76.0	88.1	-12.1
5 years	82.5	91.9	-9.4
10 years	183.0	322.1	-139.1

Calculated from Alpha Vantage weekly adjusted closing prices (dividends reinvested), except 1 day, 1 week and 1 month for Johnson & Johnson, which use daily closes from StockAnalysis and are price returns. Year to date runs from the last weekly close of 2025. SPY is the benchmark proxy for the S&P 500; no sector index was retrieved, so sector-relative performance is not shown.

Total return versus benchmark, five years



Source: Alpha Vantage weekly adjusted close, 6 October 2021 to 6 October 2026. Index, start = 100.

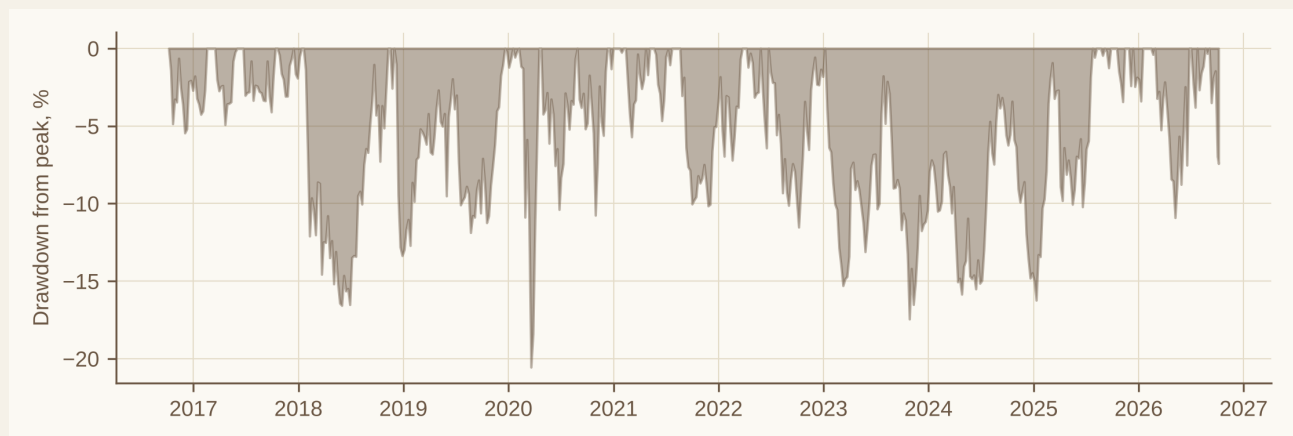
The stock has beaten the market over 12 months by 20 points but lags it over three, five and ten years: a classic defensive profile that outperforms when growth is questioned. REASONED

VOLATILITY, RISK AND TECHNICAL INDICATORS

Measure	Value	Basis
Annualized volatility, 1 year / 3 years / 5 years	23.2% / 18.9% / 17.9%	Calculated from weekly returns
Downside volatility, 3 years	10.1%	Calculated from weekly returns
Beta versus SPY, 5 years	0.19	Calculated, weekly; StockAnalysis reports 0.20
Correlation with SPY, 5 years	0.17	Calculated, weekly
Maximum drawdown, 5 years / 10 years	-17.5% / -20.6%	Calculated, weekly closes (October 2023; March 2020)
Current drawdown from 4 September 2026 high	-7.4%	Calculated
52-week range	US\$184.66 to US\$281.07	Calculated from weekly lows and highs
50-day / 200-day moving average	US\$265.57 / US\$242.15	Sourced: StockAnalysis
RSI (14 days)	31.5	Calculated; StockAnalysis reports 33.3
MACD (12, 26, 9)	-2.86 versus signal -0.91	Calculated from daily closes
ATR (14 days)	US\$4.81 (1.9% of price)	Calculated
Volume, 20-day versus 50-day average	6.49m versus 6.61m	Calculated

The one-year beta is negative and the three-year correlation is 0.04, reflecting the low and unstable relationship with the benchmark; the 5-year figure is the more reliable estimate.

Drawdown from rolling peak, ten years



Source: Alpha Vantage weekly adjusted close, October 2016 to October 2026. Units: percent below prior peak.

The price fell from a September high of US\$278.43 (daily close, 3 September) to US\$254.78, an 8.5% decline in a month, taking the shares below the 50-day average and into oversold territory on RSI. It remains above the 200-day average, so the intermediate uptrend is intact. Support sits near US\$250 (the early August lows of US\$250.44) and US\$242 (200-day average); resistance sits at US\$270 to US\$275. The heavy volume of 15.8m shares on 18 September is consistent with an index rebalancing date (Reasoned). Technical structure describes the timing and momentum of trading, not the fundamental value assessed in section C. **REASONED**

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, US\$ MILLION

Line	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue	78,740	79,990	85,159	88,821	94,193	97,929
Revenue growth	-4.7%	1.6%	6.5%	4.3%	6.1%	8.1%
Gross profit	55,338	55,394	58,915	61,785	64,128	66,729
Operating income	21,555	22,181	23,664	22,601	26,333	27,121
Depreciation and amortization	6,651	6,329	7,103	7,339	7,503	7,751
EBITDA (derived)	28,206	28,510	30,767	29,940	33,836	34,872
Net income	20,878	17,941	35,153	14,066	26,804	21,037
Diluted EPS, US\$	7.81	6.73	13.72	5.79	11.03	8.63
Stock-based compensation	1,135	1,138	1,162	1,176	1,354	1,414

Source: StockAnalysis income statement and cash flow pages, 7 October 2026; reported GAAP figures, with EBITDA derived.

Growth is mostly volume-led: Innovative Medicine rose 6.0% in FY2025 (5.3% operational) and MedTech 6.1% (5.4% operational), so currency added 0.7 points. In the second quarter of 2026 sales rose 6.6% to US\$25.3bn, led by Darzalex (+18.9%), Tremfya (+72.5%), Carvykti, Tecvayli, Rybrevant, Spravato (+40.8%) and Caplyta (+70.9%), partly offset by Stelara, which fell 55.2% to US\$740m, a headwind of 760 basis points. Acquisitions contribute materially: Caplyta, acquired with Intra-Cellular on 2 April 2025, and Shockwave. [SOURCED](#)

Operating margin has been broadly stable at 27% to 28% except in FY2024 (25.4%), when litigation and acquired in-process R&D charges weighed. In the first half of 2026 SG&A rose to 25.3% of sales from 24.1% while R&D fell to 14.5% from 14.8%, and the gross margin stood at 67.3%. Pre-tax margin was 25.8% against 44.1% in the first half of 2025, because the earlier period contained a US\$7.2bn other-income credit linked to a talc reserve reversal (US\$6.04bn pre-tax litigation benefit for the full year). Net income is therefore the least reliable profit measure at this company; operating income and free cash flow are better guides. The effective tax rate was 15.4% in the first half of 2026 (calculated from the 10-Q). Operating leverage is modest: gross margin has contracted 2.2 points since FY2021 while operating margin is flat, meaning selling and R&D efficiency, not pricing, has protected profit. [SOURCED](#)

QUARTERLY AND HALF-YEAR DETAIL, US\$ MILLION

Line	Q2 2026	Q2 2025	H1 2026	H1 2025
Sales	25,310	23,743	49,372	45,636
Cost of products sold	8,051	7,628	16,157	14,985
Selling, general and administrative	6,432	5,889	12,466	11,001
Research and development	3,653	3,516	7,180	6,741
Earnings before tax	6,747	6,491	12,737	20,122
Net earnings	5,534	5,537	10,769	16,536
Diluted EPS, US\$	2.27	2.29	4.41	6.82
Adjusted diluted EPS, US\$	2.90	2.77	5.60	5.53

Source: Johnson & Johnson Q2 2026 earnings press release, 15 July 2026. Adjusted EPS excludes amortization of intangibles, litigation, restructuring, separation and acquisition-related items; it is a management measure.

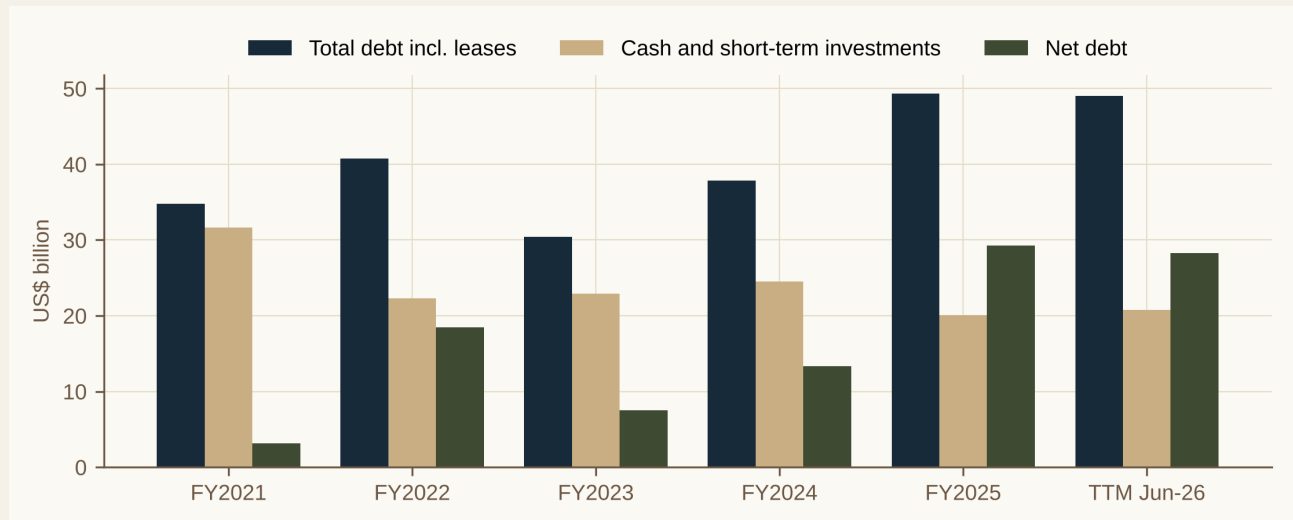
C2. Balance Sheet

BALANCE SHEET SUMMARY, US\$ MILLION

Line	FY2021	FY2022	FY2023	FY2024	FY2025	Jun-26
Cash and short-term investments	31,608	22,281	22,927	24,522	20,102	20,758
Receivables	15,283	14,039	14,873	14,842	17,178	19,046
Inventory	10,387	10,268	11,181	12,444	14,191	15,144
Property, plant and equipment	19,862	18,982	20,898	21,618	24,469	23,582
Goodwill	35,246	36,047	36,558	44,200	48,772	48,479
Intangible assets	46,392	38,489	34,175	37,618	50,403	48,229
Total assets	182,018	187,378	167,558	180,104	199,210	201,061
Total debt incl. leases	34,751	40,742	30,432	37,834	49,333	49,040
Pension and post-retirement	8,898	6,542	7,149	7,255	6,957	6,657
Total liabilities	107,995	110,574	98,784	108,614	117,666	116,090
Shareholders' equity	74,023	76,804	68,774	71,490	81,544	84,971
Net debt (derived)	3,143	18,461	7,505	13,312	29,231	28,282

Source: StockAnalysis balance sheet page, 7 October 2026 (Jun-26 is the balance sheet at 28 June 2026). Total debt is short-term debt plus current portion plus long-term debt plus lease liabilities as listed by the provider; the Jun-26 figure is the provider's total debt. Net debt is derived.

Debt, cash and net debt



Source: StockAnalysis balance sheet, calculated. Units: US\$ billion at fiscal year-end; latest is 28 June 2026.

Net debt rose from US\$3.1bn at FY2021 to US\$29.2bn at FY2025 as cash was deployed into acquisitions; debt rose by US\$11.5bn in FY2025 alone, alongside a US\$12.8bn increase in intangible assets and a US\$4.6bn increase in goodwill, which is the footprint of the Intra-Cellular transaction (Reasoned). Leverage metrics remain moderate at 0.81 times net debt to EBITDA and 1.4 times gross debt to EBITDA. The current ratio is 1.03 at FY2025 and 1.09 at June 2026 and the quick ratio is 0.69 (FY2025, calculated), so liquidity relies on continuous cash generation and commercial paper access: short-term borrowings were US\$11.7bn at 28 June 2026 against US\$20.8bn of cash. Working capital was only US\$1.5bn at FY2025. The equity ratio is 40.9%. CALCULATED

Red flags: goodwill and intangibles equal 49.8% of assets and exceed shareholders' equity, so tangible equity is negative US\$17.6bn. Receivables grew 15.7% in FY2025 and inventory 14.0% against revenue growth of 6.1%, which deserves monitoring in the next two quarters (some of this is acquired-business scaling and launch stocking, Reasoned). Contingent obligations from talc litigation are not quantified in the sources retrieved; off-balance-sheet obligations were not retrieved. [SOURCED](#)

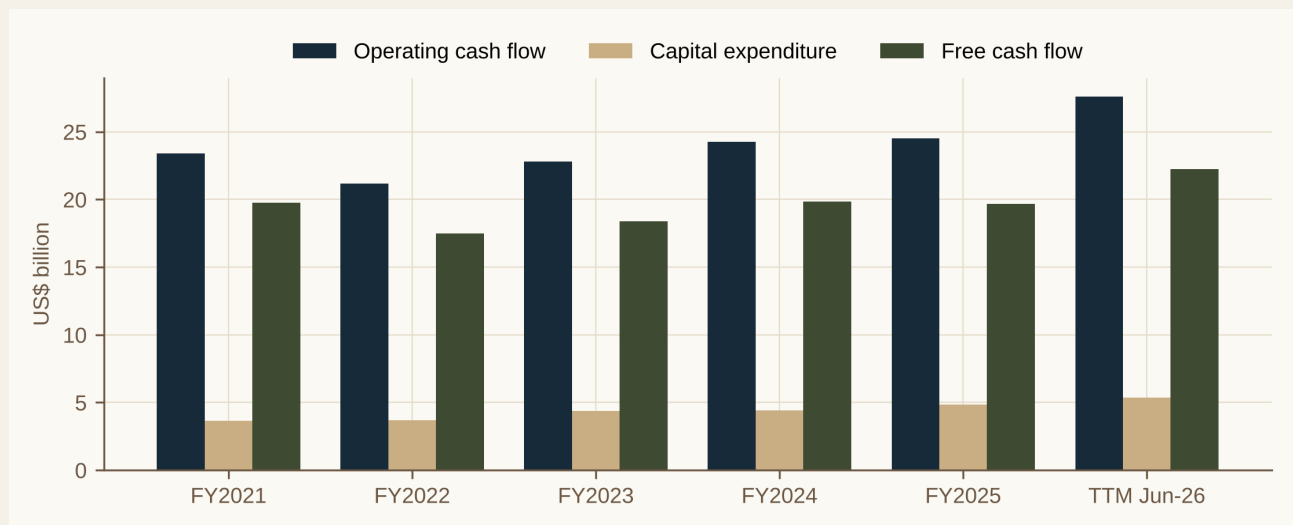
C3. Cash Flow Statement

CASH FLOW SUMMARY, US\$ MILLION

Line	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Operating cash flow	23,410	21,194	22,791	24,266	24,530	27,608
Capital expenditure	-3,652	-3,706	-4,381	-4,424	-4,832	-5,364
Free cash flow	19,758	17,488	18,410	19,842	19,698	22,244
Dividends paid	-11,032	-11,682	-11,770	-11,823	-12,381	-12,621
Share repurchases	-3,456	-6,035	-5,054	-2,432	-5,953	-8,075
Free cash flow / net income, x	0.95	0.97	0.52	1.41	0.73	1.06

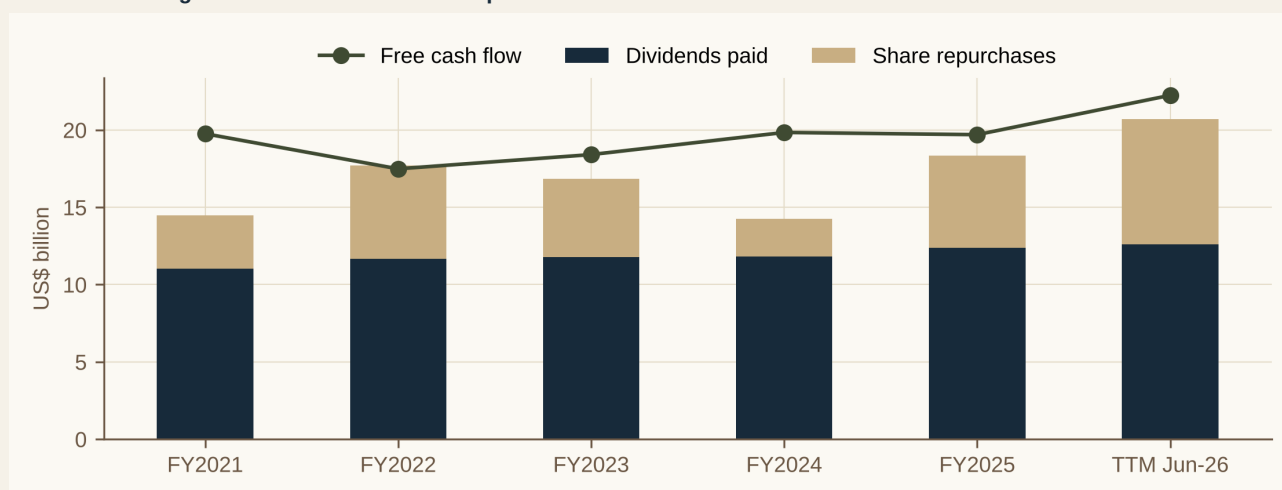
Source: StockAnalysis cash flow statement, 7 October 2026. Free cash flow = operating cash flow less capital expenditure (calculated by the provider and verified here). Acquisition spending and debt issuance were not retrieved and are not shown.

Operating cash flow, capital expenditure and free cash flow



Source: StockAnalysis. Units: US\$ billion.

Free cash flow against dividends and share repurchases



Source: StockAnalysis. Units: US\$ billion.

Free cash flow has been between US\$17.5bn and US\$22.2bn in every period and matches the company's reported figure of about US\$19.7bn for FY2025. Dividends alone consume 62.9% of FY2025 free cash flow and 56.7% (US\$12.6bn of US\$22.2bn) on a trailing basis; with buybacks the total reaches 93% of trailing free cash flow, leaving little for acquisitions without borrowing. Net income and cash diverge sharply: FY2023 net income of US\$35.2bn was 1.9 times free cash flow because of a non-cash gain (Reasoned: the exchange offer for Kenvue), while FY2024 and FY2025 net income relative to free cash flow were distorted by litigation charges and credits. Capex intensity rose to 5.5% of revenue, reflecting manufacturing capacity for biologics and cell therapy. **CALCULATED**

C4. Forecasting and Projections

Revenue modelling starts from the guidance of US\$100.8bn to US\$101.4bn for 2026 (US\$101.1bn midpoint, 7.3% reported and 6.5% operational adjusted growth). Beyond 2026 the base case assumes a decline in growth as Stelara erosion annualises and the Darzalex 2029 patent expiry approaches, offset by Tremfya, Carvykti, Rybrevant and Caplyta. Segment-level volume, price and mix splits are not disclosed; the Q2 2026 data show currency adding 1.0 point and acquisitions a further contribution. Market share evolution was not quantified. The Orthopaedics separation is not modelled: the forecast assumes the consolidated group.

SCENARIO PROJECTIONS, US\$ BILLION UNLESS STATED

Scenario and line	2026E	2027E	2028E	2029E	2030E
Base: revenue	101.1	105.6	109.8	113.7	117.7
Base: operating margin	27.5%	27.5%	27.5%	27.0%	27.0%
Base: free cash flow	23.0	23.8	25.0	26.1	26.9
Bull: revenue	101.4	108.5	115.6	122.5	128.6
Bull: operating margin	28.0%	28.5%	29.0%	29.0%	29.0%
Bull: free cash flow	24.0	25.9	28.0	30.0	31.8
Bear: revenue	100.8	102.8	103.3	102.3	103.3
Bear: operating margin	26.5%	25.5%	25.0%	25.0%	25.0%
Bear: free cash flow	21.5	21.5	21.9	21.2	21.2

Estimates and assumptions (Reasoned), anchored to the July 2026 company guidance for 2026 revenue (Sourced). Base growth after 2026: 4.5%, 4.0%, 3.5%, 3.5%. Bull: 7.0%, 6.5%, 6.0%, 5.0%. Bear: 2.0%, 0.5%, -1.0%, 1.0%. Margins are GAAP operating margins before one-off items. Free cash flow is after interest and tax and equals a margin of about 22.8% (base), 24.7% (bull) and 20.5% (bear) in 2030.

Working capital and capex: the model keeps capex near 5.5% of revenue (mostly growth capex for biologics and cell therapy; maintenance capex was not disclosed) and allows working capital to absorb a modest amount of cash, consistent with receivables and inventory growing faster than sales in FY2025. Margin projections assume gross margin erosion of about one point from loss of Stelara and Tremfya mix being offset by SG&A discipline; R&D stays near 14% to 15% of sales.

C5. Discounted Cash Flow (DCF) Model

The DCF discounts free cash flow after interest and tax at a cost of equity, so net debt is not deducted again (debt service is already inside the cash flows). The raw five-year beta of 0.19 would imply a cost of equity close to the risk-free rate and is not used mechanically; instead the cost of equity is set by assumption at 8.5% in the base case, built from the 10-year Treasury yield of 5.31% (5 October 2026) plus a premium of 3.2 points. **REASONED**

DCF ASSUMPTIONS AND OUTPUT, BASE CASE

Assumption	Value
Revenue 2026E	US\$101.1bn (company guidance midpoint)
Free cash flow 2026E (starting point)	US\$23.0bn (trailing US\$22.2bn plus 2026 growth)
Free cash flow growth 2027E to 2031E	3.5%, 5.0%, 4.5%, 3.0%, 4.0%
Tax rate	15.4% (first half 2026 effective rate), embedded in free cash flow
Capex and working capital	5.5% of revenue; modest working-capital absorption, embedded in free cash flow
Cost of equity (discount rate)	8.5%
Terminal growth	2.5%
Terminal value share of total	75.8%
Net debt	US\$28.3bn (information only; not deducted)
Shares outstanding	2.428bn (market capitalization / price)
Equity value per share, base	about US\$173
Valuation range, cost of equity 7.5% to 9.5%, terminal growth 1.5% to 3.5%	US\$134 to US\$251

Calculated. A DCF is a framework for testing assumptions, not a point estimate of intrinsic value. Pension liabilities of US\$6.7bn and any talc obligations are not separately deducted.

SENSITIVITY: COST OF EQUITY (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE IN US\$

Cost of equity	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	215	235	260	292	334
7.0%	195	211	231	255	287
7.5%	179	192	208	227	251
8.0%	165	176	189	204	223
8.5%	153	162	173	185	201
9.0%	143	150	159	170	182
9.5%	134	140	148	157	167

SENSITIVITY: ANNUAL FREE CASH FLOW GROWTH 2027E TO 2031E (ROWS) AGAINST COST OF EQUITY (COLUMNS),
US\$ PER SHARE

Annual growth	7.0%	7.5%	8.5%	9.5%
2%	211	190	158	136
4%	231	208	173	148
6%	252	226	188	161
8%	275	247	205	175
10%	299	269	223	190

Calculated; terminal growth 2.5%, starting free cash flow US\$23.0bn. A one-point change in free cash flow margin on 2026 revenue (about US\$1.0bn) changes the base value by about US\$7.5 per share. Bull case (growth of 8%, 8%, 7%, 6%, 5%; cost of equity 8.0%; terminal growth 3.0%) gives about US\$241; bear case (growth of 0%, 2%, -3%, 0%, 2%; cost of equity 9.5%; terminal growth 1.5%) gives about US\$106.

The valuation range of US\$134 to US\$251 sits below the current price of US\$254.78 at the base assumptions. Reaching the current price requires a cost of equity of about 6.5% to 7.0% combined with terminal growth of 2.5% to 3.0%, or a bull-case trajectory. The valuation is sensitive: each half-point on cost of equity moves value by about US\$14 to US\$16 per share.

CALCULATED

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of about US\$647bn and a trailing EBITDA of US\$34.9bn, no financial sponsor could assemble the equity and debt required, so an LBO analysis would carry no analytical meaning. REASONED

D. Investment Thesis

Bull Case

Revenue grows 6% to 7% a year through 2030 as Tremfya, Carvykti, Rybrevant, Spravato and Caplyta more than replace Stelara, MedTech grows at the mid-single digits that Shockwave and electrophysiology have shown, and Darzalex is extended by new formulations and combinations beyond 2029. Operating margin expands from 27.7% towards 29% as acquired products scale and the Orthopaedics separation removes a lower-margin business. Free cash flow reaches about US\$32bn in 2030 and the shares hold a premium multiple because earnings growth of 8% or more is visible. On the bull assumptions the cash-flow value is about US\$241 per share, below the current price, which shows that even an optimistic cash-flow path needs the market to keep the discount rate low. REASONED

Bear Case

Darzalex erosion begins sooner than 2029 through biosimilar or competing bispecific therapies, Stelara losses deepen, and US pricing reforms trim net prices. Margins fall towards 25% as SG&A and R&D stay high, talc outcomes require several billion dollars of payments, and a goodwill write-down follows disappointing acquired assets. Free cash flow stalls near US\$21bn, the multiple compresses towards the FY2024 range of 12x EV/EBITDA to 15x, and the cash-flow value is about US\$106 per share. REASONED

Base Case

Revenue grows 4% to 4.5% from 2027 after the guided 7.3% in 2026, operating margin holds near 27% to 27.5%, free cash flow rises from US\$23bn to about US\$27bn by 2030 and the company continues to pay out about 90% of free cash flow while net debt stays below 1.0 times EBITDA. At a cost of equity of 8.5% this supports about US\$173 per share, with a range of US\$134 to US\$251 across plausible discount rates. The current price implies more optimistic inputs than this base case. REASONED

Catalysts

The third-quarter 2026 earnings release (date not confirmed in the sources used) and the fourth-quarter release with the 2027 outlook. Regulatory decisions and Phase 3 data in oncology and immunology; the planned Orthopaedics separation, targeted within 18 to 24 months of October 2025; US pricing and tariff announcements; talc rulings; and the pace of share repurchases, which reached US\$4.3bn in the first half of 2026. Margin expansion from product mix is a further internal catalyst. SOURCED

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Darzalex quarterly sales	15% of group revenue; 2029 US patent expiry	Double-digit growth continues	Growth below 10% or new competitor data
Stelara erosion	Biggest offset to growth (760 bp in Q2 2026)	Decline stabilising below US\$0.7bn per quarter	Faster than guided
Operating margin	Core profitability, 27.7% trailing	Above 28%	Below 26%
Free cash flow	Funds dividend and buybacks	Above US\$22bn trailing	Below US\$19bn
Net debt / EBITDA	Balance-sheet risk	Under 0.8x	Above 1.5x
Talc docket	Largest legal risk	Orderly settlements	Large verdicts or new filings
Receivables and inventory	Grew 15.7% and 14.0% in FY2025	Growth in line with sales	Further build-up
Forward P/E	21.8x on 2026 guidance	Stable as EPS rises	De-rating towards 16x to 18x

E. Final Investment Framework

BUSINESS QUALITY	High. Gross margin 68.1%, ROIC 19.9%, diversified across two industries and several large product franchises.
FINANCIAL QUALITY	High on cash generation (US\$22.2bn free cash flow), moderate on earnings quality because litigation and one-off items distort net income.
COMPETITIVE POSITION	Strong in multiple myeloma, immunology and electrophysiology; dependent on a handful of products for about 29% of sales.
MANAGEMENT	Competent execution against guidance (raised twice in 2026) and steady R&D intensity; mixed capital discipline given acquisitions funded partly with debt.
INDUSTRY	Structurally growing at 5% to 8% but facing a patent cliff of nearly US\$200bn and policy risk.
VALUATION	Demanding. 29.5x trailing earnings and 18.5x EBITDA are above the company's history; the base-case DCF supports US\$134 to US\$251.
TECHNICAL AND MARKET STRUCTURE	Defensive profile, beta 0.19, short-term oversold after an 8% pullback, long-term trend above the 200-day average.
PRINCIPAL RISK	Loss of exclusivity concentration: Darzalex and Stelara at about 21% of sales.
PRINCIPAL CATALYST	Pipeline launches and label expansions scaling faster than Stelara declines.
KEY VARIABLE	The discount rate the market applies to the cash flows (implied cost of equity near 6.6%).
THESIS INVALIDATION	The investment thesis would become materially weaker if trailing operating margin falls below 26%, if trailing free cash flow drops below US\$19bn, if Darzalex growth falls below 10% before 2029, or if net debt to EBITDA exceeds 1.5 times.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	US\$618.5bn	about US\$454bn	+35% in 12 months
Market	Enterprise value	US\$646.8bn	N/A	N/A
Market	Share price	US\$254.78	about US\$187	5-year total return +82.5%
Growth	Revenue growth	8.1% (TTM)	6.1% (FY2025)	4.6% CAGR FY2021 to FY2025
Profitability	Gross margin	68.1%	68.1%	Down from 70.3%
Profitability	Operating margin	27.7%	28.0%	Stable, 25.4% to 28.0%
Profitability	Net margin	21.5%	28.5%	Volatile, 15.8% to 41.3%
Profitability	ROE	25.7%	35.0%	N/A
Profitability	ROIC	19.9%	N/A	N/A
Cash flow	Operating cash flow	US\$27.6bn	US\$24.5bn	1.2% CAGR FY2021 to FY2025
Cash flow	Free cash flow	US\$22.2bn	US\$19.7bn	-0.1% CAGR FY2021 to FY2025
Leverage	Net debt / EBITDA	0.81x	0.86x	Up from 0.11x in FY2021
Valuation	P/E (trailing)	29.5x	18.7x	Up from 10.7x in FY2023
Valuation	EV/EBITDA	18.5x	15.6x	Up from 12.5x in FY2023
Valuation	P/FCF	27.8x	25.4x	Up from 20.5x in FY2023
Market	Beta (5-year, weekly)	0.19	N/A	3-year beta 0.05
Market	Annualized volatility	23.2% (1 year)	18.9% (3 years)	17.9% over 5 years
Market	Maximum drawdown	-17.5% (5 years)	N/A	-20.6% over 10 years

Current for financial metrics is the twelve months to 28 June 2026; prior year is fiscal 2025 (year ended 28 December 2025). For market items, prior year is a year earlier; market capitalization and price a year ago are derived from the 12-month price change reported by StockAnalysis. Multiples are recalculated at the 6 October 2026 close; valuation history is FY-end.

G. Sources and Methodology

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Calculations

All derived metrics are calculated by the analyst: EBITDA is operating income plus depreciation and amortization; free cash flow is operating cash flow less capital expenditure; net debt is total debt including leases less cash and short-term investments; market capitalization at the 6 October close uses 2.428bn shares derived from the provider's market capitalization and price; returns, volatility, beta, correlation and drawdown use weekly adjusted closes; RSI, MACD and ATR use 14-day, 12/26/9 and 14-day windows on daily closes; DCF is a five-year free cash flow to equity model with the Gordon terminal value described in section C5. Estimates and scenarios are labelled as such.

Cross-check of sources

Trailing revenue of US\$97,929m reconciles with FY2025 revenue plus first-half 2026 less first-half 2025 from the company filings (94,193 + 49,372 - 45,636 = 97,929). Trailing net income of US\$21,037m reconciles in the same way (26,804 + 10,769 - 16,536). Free cash flow of about US\$19.7bn for FY2025 matches the company release. Trailing EPS of US\$8.63 compares with US\$8.62 derived from the filings, a rounding difference. Shares outstanding of 2.41bn (provider) compare with 2.428bn derived from market capitalization and price; the derived figure is used. Where the provider and company differ, the company filing is preferred. Management-reported adjusted EPS and guidance are labelled as management measures.

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